

Futures	Forwards	Derivatives: (COEF) Advantages	Derivatives: (FUCO) Disadvantages
- Standardised - Exchange-traded - Highly marketable - Delivery price is determined openly in the marketplace - Closed out prior to maturity	- non-standardised - OTC - pool (low marketability) - Delivery price is negotiated privately - difficult to close out - settle at maturity	→ short-term protection ∴ roll-over risk - Quick to implement [add/remove exposure] - Cheaper than trading the underlying - Diversification - Exposure	- Risk of financial loss ↳ operational = complex - Delta / time decay [adjust position constantly in true hedge] - Credit risk - cross hedge / basis risk - upside loss - liquidity - short term (roll over)

Quote one-year forward:

→ £1 = \$1.50

→ $\hat{L}_t = x$

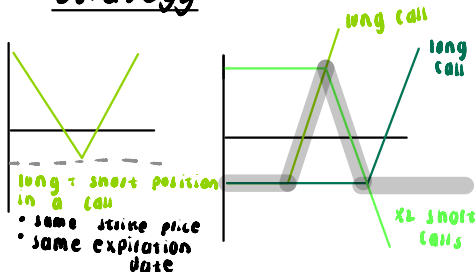
→ $L_t = y$

$$\frac{1.50 \times L_t}{1 \times L_t}$$

③ shows expected rise or decline

CHAPTER 3: DERIVATIVES

Strategy:



What the payoff ignores

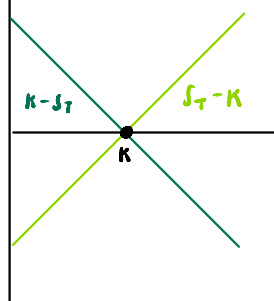
- taxes + transaction costs
- margins
- income payable by underlying
- effect of discounting of exchanged

② Profit profile:
includes prem

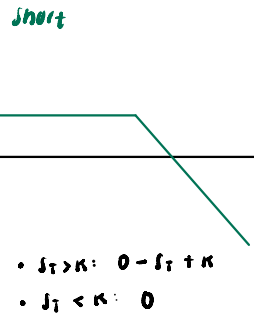
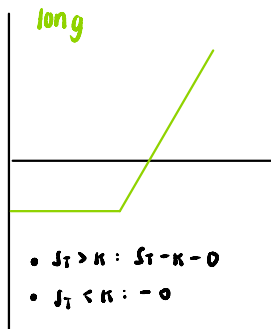
payoffs:

① Forward / Future

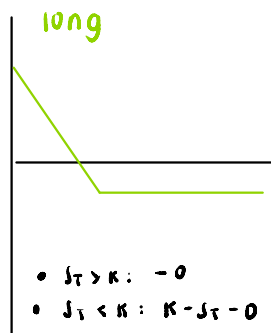
- = long (buy)
- = short (sell)



② Call



③ Put



Definitions:

• Call option	gives holder the right to buy the underlying asset for a certain price by a certain date
• Put option	gives holder the right to sell the underlying asset for a certain price by a certain date
• American option	exercised at any time up until expiry
• European option	exercised on expiration date